

BALI OFF SCRIPT

The Bali Buyer's Kit

Everything I check before anyone signs. The documents, the questions, the lease clauses, the red flags and the real numbers.

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How to use this kit

Most Bali deals do not go wrong on price. They go wrong because one link in a chain does not match the others, and nobody checked the chain in order.

This kit is the order. Work through it with the actual property in front of you: the certificate, the zoning, the lease draft, the rental figures you were shown. Wherever you cannot tick a line, you have found the question to ask next.

Three rules sit above everything in here:

- **Your own notary.** Not the seller's, not the agent's, not the developer's. A notary (PPAT) the other side brought is working for the other side.
- **Nothing verbal exists.** If a promise is not in the deed or the lease, it was never made.
- **Speed is a tactic.** Nothing legitimate in an Indonesian land transfer requires you to skip a step this week.



1. The chain: nine links that all have to hold

A property in Bali is only as good as the weakest of these. A break anywhere invalidates everything after it.

LINK	WHAT YOU ARE CHECKING	WHERE IT USUALLY BREAKS
1. Land	The certificate exists, is genuine and matches the plot you walked	Photocopies, double certificates, a plot smaller than advertised
2. Owner	The person signing has the authority to sign	Family land with heirs who never agreed
3. Agreement	The lease or deed gives you what you think it gives you	Extension "promised" but not priced or binding
4. Zoning	The spatial plan allows what you want to do there	Green or yellow zone sold as a rental investment
5. Permitted use	Building and operating are both allowed at that density	KDB caps that make the plan impossible
6. Business classification	The KBLI code for your rental model is open to you	Classifications closed to new foreign companies
7. PBG	Every structure on the plot has a building approval	Extensions and pool houses built without one
8. SLF	The finished building is certified fit for use	"Being processed" for years
9. Operating licence	The villa may legally take paying guests	A legal building with an illegal rental

> A beautiful villa with a clean title is still a bad investment if link 4, 6 or 9 is broken. Those three are the ones nobody photographs.



2. The documents to request

Ask for all of these before you pay a deposit. A seller who has a good property has most of them in a folder already.

DOCUMENT	WHAT IT PROVES	WALK AWAY OR SLOW DOWN IF
Land certificate (SHM, SHGB or SHP), the original	Who holds which right over which land	You are only ever shown a photo or a copy
Certificate check at BPN, done by your notary	The certificate is genuine and unencumbered	The seller resists the check or "already did it"
Cadastral drawing (gambar situasi)	The boundaries and the area	The fenced area and the certificate area differ
Owner's KTP and family card (KK)	Identity and family members	The names do not match the certificate
Spouse consent	Joint marital property can be transferred	"My wife does not need to sign"
Heirs' consent, if inherited	Every heir agrees to the deal	One signatory for land owned by a family
PBB receipts, last 5 years	Land tax is paid and the valuation is real	Arrears, or receipts in another name
Zoning extract (RDTR) for this parcel	What may be built and operated there	Zoning "confirmed" only by the agent
PBG for every building	Building approval	Some structures have none
SLF	Fitness for use	Not issued, "coming soon"

DOCUMENT	WHAT IT PROVES	WALK AWAY OR SLOW DOWN IF
Lease draft or deed draft	Exactly what you are buying	No extension clause, or a vague one
For a company sale: deed of establishment, AHU records, NIB, LKPM reports	The company exists, is licensed and is compliant	Reports not filed, or a classification that no longer fits
For off-plan: developer company records and the land agreement under the project	The developer controls the land it is selling you	Developer is a tenant with a short lease on the land
Rental history, if claimed	The income is real	Spreadsheets with no bookings, bank statements or platform exports



3. Twenty questions to ask before you pay anything

Ask them in writing. Keep the answers. Vague answers are answers too.

About the land and the owner

1. Can my notary see the original certificate this week, and check it at BPN before I pay a deposit?

2. Who exactly owns the land, and is anyone else entitled to it, a spouse, children, siblings, a family temple?

3. Has the land ever been inherited, split or merged? Can I see the old certificates?

4. Is the access road a registered right of way, and how wide is it on paper?

5. Is there any mortgage, lien or dispute registered against this land?

About the zoning and the permits

6. What is the RDTR zoning for this exact parcel, and can I see it on the official map?

7. What KDB and KLB apply, and does the current building comply?

8. Does every structure have a PBG? Can I see each one?

9. Is the SLF issued, not applied for?

10. Are there beach, river, cliff or temple setbacks on this plot?

About the lease or the deal

11. How many years are left on the lease from the date I sign, not from the date it started?

12. Is the extension priced or formula-based, and is it binding on the owner's heirs?

13. Can I sell, transfer or sublease my remaining years without the owner's approval?

14. What happens to the buildings when the lease ends?

15. Who pays which taxes on this transaction? Can that go in writing?

About the money

16. What is the rental model, nightly, monthly or long-term, and is it permitted on this plot?

17. Which business classification will the rental run under, and is it open today?

18. Can I see real booking data or bank statements, not a projection?

19. What are the management fee, the staffing cost and the platform commission?

20. Off-plan: what happens to my money if the project stops, and where is it held until each stage is built?



4. Twelve lease clauses to insist on

A lease is the most common way foreigners hold property in Bali. It is also where most of the value is won or lost.

1. **Term start date.** The lease runs from the date you sign, not from an earlier date in someone else's agreement.

2. **Priced extension.** A fixed price or a written formula for the extension, not "to be negotiated".

3. **Binding successors.** The extension and every other right bind the owner's heirs, successors and anyone they sell to.

4. **Right to transfer.** You may sell or assign your remaining years without needing the owner's consent.

5. **Right to sublease.** You may rent the property to others, for the rental model you intend.

6. **Right to build and renovate.** Within the zoning, with the owner's cooperation on permits written in.

7. **Permit cooperation.** The owner must sign what the permit offices require, within a set time.

8. **End-of-term buildings.** What happens to the structures when the lease ends, stated plainly.

9. **Taxes.** Who pays the land tax and any transaction taxes, for the whole term.

10. **Registration.** The lease is made before a notary and registered, not a private agreement.

11. **Default and remedies.** What happens if the owner breaks the agreement, and what you can recover.

12. **Disputes.** Which law, which court or arbitration, and in which language the binding version is written.



5. Fifteen red flags

Any one of these is a reason to slow down. Two or more is usually a reason to walk away.

- "Freehold in your name." Foreigners cannot hold Hak Milik under any structure.
- A nominee: an Indonesian holding the land "for you" with a private side agreement.
- Pressure to pay a deposit before your notary has seen the original certificate.
- The seller's notary offered as "the notary".
- A price far below the area, explained by a story rather than a document.
- Yields quoted gross and without a breakdown of costs.
- Rental income "guaranteed" by the developer, with no security behind the guarantee.
- Off-plan payments that go to the developer with no link to construction stages.
- A developer that leases the land itself on a short lease.
- Zoning confirmed verbally or with a screenshot nobody can trace.
- Structures with no PBG, "which everyone has here".
- An extension clause that says "may be extended by agreement".
- Cash payments, or money routed through personal accounts.
- A company for sale with no LKPM reports filed.
- An agent who gets defensive when you ask for any of the documents above.



6. The net yield worksheet

Advertised Bali yields are almost always gross. This is how to get to the real figure. The example below is illustrative. Replace each line with the numbers from the property you are looking at.

LINE	EXAMPLE	YOUR FIGURE
Purchase price, 25-year leasehold	$300,000	
Average nightly rate	$180	
Occupancy	65% (237 nights)	
Gross rental income	**$42,705**	
Platform commission, about 15%	−$6,406	
Management, 20% of what is left	−$7,260	
Staff, utilities, pool, garden, internet	−$9,000	
Maintenance and refurbishment reserve, 5% of gross	−$2,135	
Land tax, community fees, insurance	−$1,500	
Net operating income, before income tax	**$16,404**	
Lease cost spread over its 25 years	−$12,000	
What you really keep each year, before tax	**$4,404**	

The agency brochure for this villa would say 14.2% (gross income divided by price). Before tax and before the lease expiring, it is 5.5%. Counting the lease you are using up, it is 1.5%.

That does not make it a bad deal. It makes it a different deal from the one in the brochure. A villa can still make sense for the life it gives you, for capital growth on a long lease, or for the rental model that suits it. Just make the decision on the real number.

Income tax depends on how you hold the property and on your tax residence. Get that line from your own tax consultant, in Indonesia and at home.



7. Area cheat sheet

What each area costs and the constraint that breaks deals there. Land prices are per are (100 m^2) and move quickly, so treat them as a starting point.

AREA	LAND PRICE	BUILDING PERMIT TIME	WATCH OUT FOR
Canggu and Berawa	around $82,500 per are	5 to 6 months	The strictest short-term rental enforcement on the island
Pererenan and Cemagi	$55,000 to $75,000 per are	5 to 6 months	More green zone than Canggu, check LP2B and KDB first
Seminyak and Umalas	near the ceiling	5 to 6 months	Mature market, stable cashflow, modest appreciation
Uluwatu and the Bukit	$25,000 to $60,000 per are	5 to 6 months	Cliff and beach setbacks. Bingin was demolished in 2025
Sanur	best value, established	3 to 5 months	Fastest permits in Bali, lower nightly rates
Ubud and Tegallalang	good land value	4 to 5 months	Temple buffers and very small buildable ratios
Tabanan and Tanah Lot	30 to 50% below Canggu	4 to 5 months	Protected farmland and the hardest rental licensing
Nusa Penida	frontier pricing	5 to 6 months	Water supply, not the permit, is the real constraint
Lombok	materially cheaper	varies by regency	A different province with different rules



8. What to do next

If you are looking at a specific property, send it to me before you sign anything: the location, the title type, the zoning you were told and any permits you were shown. I will tell you which link in the chain breaks first, and what it would take to fix it.

The most useful thing I can tell someone is often "not this one". A deal that cannot survive being checked properly is not a deal worth doing, whoever is selling it.

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> General information, not legal, tax or financial advice. Indonesian regulations change often and are applied differently between regencies. Verify everything with your own licensed Indonesian notary (PPAT), lawyer and tax consultant before you act on it.

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